

ORIGINAL

FEDERAL MARITIME COMMISSION

PETITION OF CHINA SHIPPING
CONTAINER LINES CO., LTD. FOR
PERMANENT FULL EXEMPTION
FROM THE FIRST SENTENCE OF
SECTION 9(C) OF THE SHIPPING ACT
OF 1984

Petition No. P4-03

Served: April 1, 2004

ORDER GRANTING PETITION IN PART

By petition filed July 31, 2003, China Shipping Container Lines Co., Ltd. ("China Shipping" or "Petitioner") requested that the Federal Maritime Commission ("FMC" or "Commission") exempt it from the first sentence of section 9(c) of the Shipping Act of 1984 ("Shipping Act"), 46 U.S.C. app. § 1708. Notice of the filing was issued on August 4, 2003, and published in the Federal Register on August 8, 2003. 68 Fed. Reg. 47310. Replies were due on August 25, 2003. The Commission received two comments in response to this notice from the American Institute for Shippers' Associations, Inc. ("AISA") and from American President Lines, Ltd. ("APL").

On January 22, 2004, in light of information provided by the Maritime Administration and the Department of State, the Commission ordered the comment period re-opened until February 23, 2004, to allow all persons interested in the Petition a full and fair opportunity to comment. 69 Fed. Reg. 4158 (January 28, 2004). The Commission received four comments in the reopened comment period, from APL, Maersk Sealand ("MSL"), the Unaffiliated Shippers of America, Inc. and Ship UsofA.COM ("USA Inc."), and the Agriculture Ocean Transportation Coalition ("AgOTC").

For the following reasons, the Commission has determined to grant the Petition and exempt China Shipping from otherwise applicable provisions of section 9(c) of the Shipping Act, 46 U.S.C. app. § 1708(c), which prohibit China Shipping from reducing its tariff rates effective sooner than the 30th day after the date of publication. We decline, however, to grant the request to make this a permanent exemption.

THE PETITION

The requested exemption would enable China Shipping to reduce tariff rates, charges, classifications, rules and regulations effective upon publication, rather than subject to a 30-day waiting period that would otherwise be prescribed by the Controlled Carrier Act.¹ China Shipping explains that ocean common carriers, with the exception of controlled carriers,² are permitted to reduce

¹ That provision states, in pertinent part: "Notwithstanding section 8(d) of this Act and except for service contracts, the rates, charges, classifications, rules, or regulations of controlled carriers may not, without special permission of the Commission, become effective sooner than the 30th day after the date of filing with the Commission." 46 U.S.C. app. § 1708(c).

² Section 3(8) of the Shipping Act defines "controlled carrier" as:

an ocean common carrier that is, or whose operating assets are, directly or indirectly, owned or controlled by the government under whose registry the vessels of the carrier operate; ownership or control by a government shall be deemed to exist with respect to any carrier if--

(A) a majority portion of the interest in the carrier is owned or controlled in any manner by that government, by any agency thereof, or by any public or private person controlled by that

(continued...)

their rates effective immediately upon publication.³ Only controlled carriers are subject to the thirty-day waiting period for reductions in tariff rates, as set forth in section 9(c) of the Shipping Act. Petition at 4. China Shipping asserts that the exemption it here requests would have no effect on the basic requirement of the Controlled Carrier Act⁴ that it charge just and reasonable rates. Id. at 5.

China Shipping explains that on March 27, 1998, the Commission granted China Ocean Shipping (Group) Ltd. ("COSCO") a limited exemption from the thirty-day waiting requirement of section 9(c) of the Shipping Act, allowing COSCO to decrease its tariff rates to levels which would meet or exceed those of its competitors with no waiting period. Petition of China Ocean Shipping (Group) Company for a Limited Exemption from Section 9(c) of the Shipping Act of 1984, 28 S.R.R. 144 (1998)(hereinafter "1998 COSCO Order"). Petition at 2. COSCO has since filed another request, Petition No. P3-99, Petition of China Ocean Shipping (Group) Company for a Partial Exemption from the Controlled Carrier Act ("P3-99"), notice of which was published at 64 Fed. Reg. 17181 (April 9, 1999), seeking the authority to reduce tariff rates on less than 30 days notice,

²(...continued)

government; or

(B) that government has the right to appoint or disapprove the appointment of a majority of the directors, the chief operating officer, or the chief executive officer of the carrier.

³ Section 8(d) of the Shipping Act, 46 U.S.C. app. § 1707(d), requires that all common carriers, controlled or otherwise, must give thirty days' notice for rate increases.

⁴ Section 9 of the Shipping Act, 46 U.S.C. app. § 1708, is popularly known as "The Controlled Carrier Act."

regardless of whether it is meeting a rate published by a competitor. Id.

China Shipping, in the instant Petition, states that it seeks the same relief as requested by COSCO in P3-99. Petition at 6. Petitioner similarly asserts that COSCO's predictions regarding the increased pace of the industry and the limitations of the exemption already granted to COSCO, as a result of changes in the industry arising from the Ocean Shipping Reform Act ("OSRA"), have proven true. Id.

China Shipping argues that its request meets the requisite criteria of section 16 of the Shipping Act, 46 U.S.C. app. § 1715 ("section 16"), as the exemption will neither result in a substantial reduction in competition nor be detrimental to commerce because it will result in increased competition among carriers and will promote commerce by making more choices available to shippers. Id. at 6-7.

China Shipping asserts that the exemption will further Congress's intent that the Commission use its exemption authority to avoid inconvenience or inequities. Id. at 8. Further, China Shipping argues that, because it operates as a commercial enterprise without interference from the Chinese government, the exemption would promote OSRA's general aspiration of placing more reliance on the marketplace. Id.

China Shipping requests "a permanent full exemption from the first sentence of section 9(c) of the [Shipping] Act so that it can publish rate decreases to be effective upon publication without regard to whether they are the same or lower than competing carriers' rates." Id. at 9. This permanent full exemption, China Shipping argues, will increase competition, benefit commerce, and promote the legislative intent of the Shipping Act without

removing the requirement that China Shipping maintain just and reasonable rates. Id.

COMMENTS

The Commission received comments in response to China Shipping's Petition from AISA and APL. After re-opening the comment period in this proceeding on January 22, 2004, the Commission also received comments from MSL, USA Inc., AgOTC, and further comments from APL.

A. Shippers

AISA (a trade association for shippers' associations), USA Inc., (a shippers' association) and AgOTC (representing U.S. agricultural exporters) maintain that the benefits of lower rates which would result from the ability of China Shipping to compete on tariff rates would benefit their members. AISA at 2; USA Inc. at 2; AgOTC at 1. Granting the exemption, AISA asserts, will allow the Petitioner to offer and compete on spot market rates which, as a practical matter, it cannot do now. AISA at 3.

AgOTC states that the controlled carrier provisions of the Shipping Act are contrary to the interests of U.S. agriculture, U.S. taxpayers, and the U.S. economy. AgOTC at 1. AgOTC urges the Commission to grant the exemptions sought by China Shipping because the restrictions on China Shipping's ability to provide the most competitively priced service in turn limits the ability of U.S. agriculture exporters to compete in the foreign marketplace. Id.

USA Inc., representing non-profit shippers' associations whose members ship goods in the Asia-U.S. trade, assert that its members have a "vital interest in promoting competition in ocean transportation services in these trades to the fullest possible extent." USA Inc. at 2. USA Inc. comments that China Shipping

and the other two Chinese controlled carriers “offer a substantial amount of capacity in the Trans-Pacific trade lanes” and that the limitations placed on the three controlled carriers act to the detriment of shippers as it deprives them of the lower rates that would result if these carriers were able to compete on rates in this trade. Id.

USA Inc. and AgOTC also argue that the original purpose of the Controlled Carrier Act, to protect American carriers from unfair competition from foreign government-owned carriers is no longer relevant as significant American carriers no longer operate in the trades important to them. USA Inc. at 2-3; AgOTC at 1.

USA Inc. contends that the harm caused U.S. shippers, importers, and consumers outweighs any possible benefits to such carriers. USA Inc. at 3. USA Inc. asserts that there has never been any evidence that the Petitioner has engaged in the type of below cost, unfair rate competition Congress sought to prevent by the Controlled Carrier Act. Id.

USA Inc. believes now that the U.S.-China bilateral Maritime Agreement (“Agreement”) has been concluded, there should be no obstacle to the granting of the Petition and that the Commission should act expeditiously to grant it so that American shippers and consumers can benefit from the results of increased competition as soon as possible. Id.

B. Carriers

APL avers in its initial comments, that until APL could learn whether a bilateral accord would eliminate its recent difficulties in obtaining certain licenses and permissions from the Government of China, it would be premature for the Commission to act on this Petition.

Comments in the re-opened period were also received by the Commission from APL and MSL. APL notes that the recently concluded U.S.-China Agreement grants shipping companies and container transport service companies of each of the parties to that Agreement certain rights to conduct business in the territories of the other. Specifically, APL's comments address the status of its attempts to engage in the activities outlined in that Agreement. APL asserts that a number of the applications it has made to the Chinese to extend existing business licenses to encompass authorities outlined in the Agreement, to convert liaison offices to branch offices, or to establish new branch offices in a number of Chinese cities, already have been granted. APL is encouraged that the remaining applications will be granted in the near future.

However, APL states that it has been informed by Chinese authorities that its requests for approval to perform vessel agency services and multimodal or combined transport activities and to own vehicles and other equipment necessary to its operations will not be acted upon until the Commission acts favorably on the three petitions of Chinese controlled carriers now before it. On that basis, therefore, APL maintains that it does not object to the Commission granting the relief sought by the Petition. MSL believes that the Commission "now has an adequate basis to grant section 16 exemptions sought" and accordingly supports the relief requested by the Petitioners. MSL at 1.

C. The Executive Agencies

The Commission has incorporated into the record of this proceeding letters it received from the Maritime Administrator, William G. Schubert, and from the Under Secretary of State for Economic, Business, and Agricultural Affairs, Alan Larson, reporting on the recently-signed bilateral Maritime Agreement with China. In view of the progress made in the Agreement, both the Maritime Administrator and the Under Secretary urge the

Commission to favorably consider the petitions of three Chinese controlled carriers currently under review by the Commission.⁵ The Maritime Administrator also urged U.S. carriers and shippers to support these petitions.

DISCUSSION

A. Commission Exemption Authority

Section 16 provides that the Commission may exempt any activity of persons subject to the Shipping Act from any requirement of that Act, if it has found that the exemption will not result in substantial reduction in competition or be detrimental to commerce.⁶

1. Substantial Reduction in Competition

China Shipping's arguments regarding carrier competition have some merit. China Shipping's burden as petitioner is to establish that the exemption will not result in a substantial reduction in competition. China Shipping goes further, however, and argues persuasively that, at least in one regard, the exemption it seeks will actually promote competition. Allowing it more

⁵ In addition to the instant Petition, they are: P3-99 and Petition No. P6-03, Petition of Sinotrans Container Lines Co., Ltd. (Sinolines) for a Full Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as Amended.

⁶ Section 16 further states, "The Commission may attach conditions to any exemption and may, by order, revoke any exemption. No order or rule of exemption or revocation of exemption may be issued unless opportunity for hearing has been afforded interested persons and departments and agencies of the United States." 46 U.S.C. app. § 1715.

flexibility to reduce its rates immediately would seem to result in an instantaneous increase in competition among carriers. This position is amply supported by the shippers' comments, which demonstrate that some shippers would use China Shipping but do not because of the 30-day delay. These assertions are unopposed by any commenters. We also note that the Commission has in the past never had occasion to act to prevent the implementation of any China Shipping tariff rate within the initial 30-day period on the basis that it may not be just and reasonable.

2. Detriment to Commerce

China Shipping's uncontested argument that the exemption will not be detrimental to commerce also has some validity. By allowing China Shipping to compete more effectively for time-sensitive cargo, shippers would be given more service options in a more competitive carrier market. Again, this point is well-supported by the comments of AgOTC, USA Inc. and AISA and is unopposed. No comments advanced the position that granting China Shipping's request would be detrimental to commerce.

We find that China Shipping's request is a narrowly-tailored, procedural exemption. Eliminating the 30-day requirement would not effect a major change in the current system of regulation of controlled carriers. While the Commission's substantive authority to review and suspend use of unreasonably low rates continues to provide important protections for the industry, the 30-day requirement of section 9(c) of the Shipping Act has declined in significance as the industry and the Commission's processes have evolved.

B. Other Considerations

The Commission declines to make this exemption permanent, as Petitioner requests. The present exemption is

granted without a time limit or provision for expiration. It should provide the same degree of stability and predictability for China Shipping's operations as would any order made by regulation. However, a specific provision for "permanence" of this Order would abrogate the Commission's authority under section 16 and its obligations under section 9.

CONCLUSION

We find that China Shipping has met the two part test of section 16. Therefore, the request for exemption is granted. The Commission retains its full authority to revoke the instant exemption subject to the requirements of section 16 of the Shipping Act of 1984, 46 U.S.C. app. § 1715.

THEREFORE, IT IS ORDERED, That China Shipping Container Lines Co., Ltd. is hereby granted a limited exemption from the requirements of 46 U.S.C. app. § 1708(c) and may reduce its tariff rates effective upon publication pursuant to 46 C.F.R. Part 520; and

IT IS FURTHER ORDERED, That this proceeding is discontinued.

By the Commission.



Bryant L. VanBrakle
Secretary